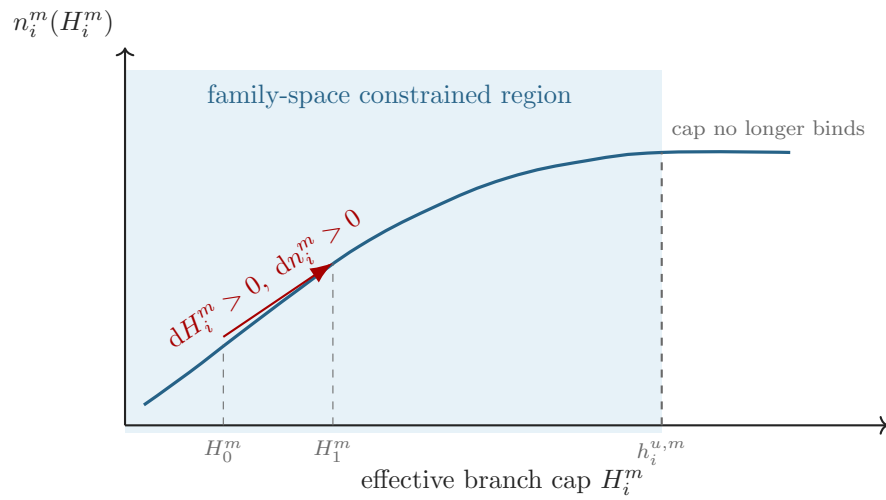


Figure 1. Fertility Response to a Binding Family-Housing Cap



If $\chi \leq \kappa q^m / \alpha$ and
the cap binds strictly,

$$\frac{dn_i^m}{dH_i^m} > 0.$$

Equal scaling:

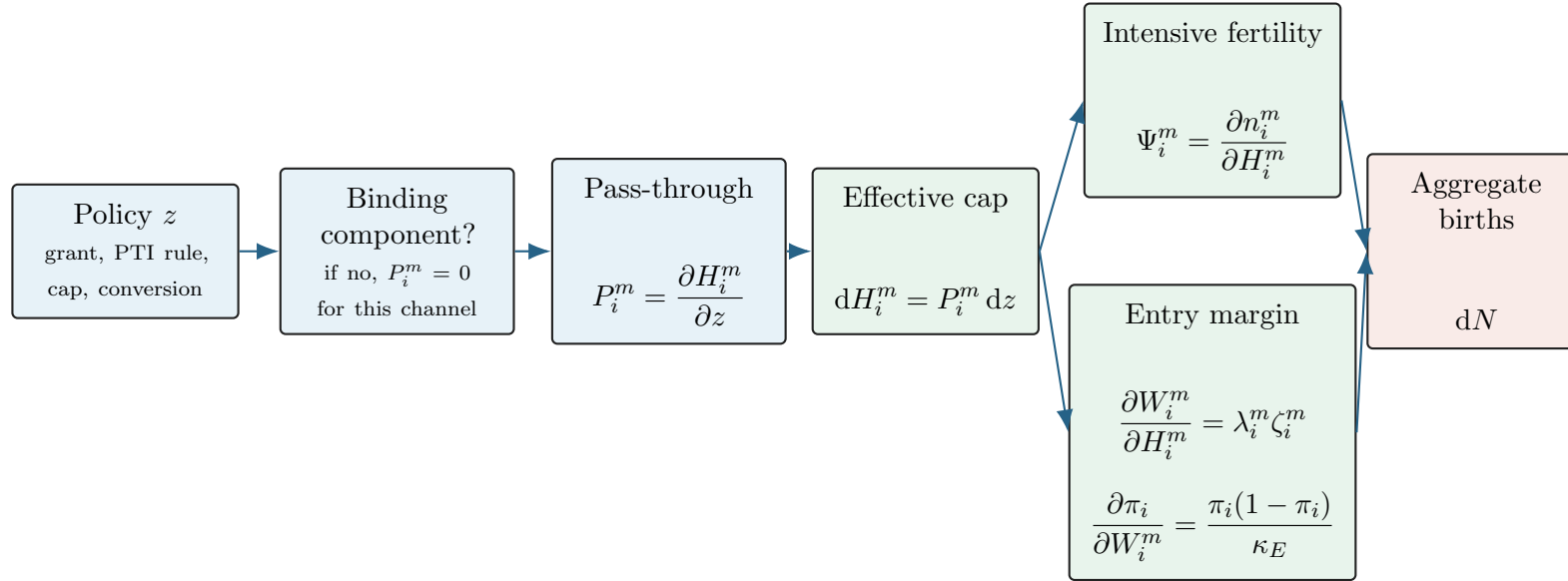
$$\chi = \frac{\kappa q^m}{\alpha}$$

child inputs have the same
expenditure mix as the
adult residual bundle.

The curve is within one tenure branch; each branch has its own curve because q^R and q^O may differ. Section 9 gives the exact local slope:

$$\frac{\partial n}{\partial H} = \frac{\alpha \kappa / s^2 - \chi q / c^2}{\beta / n^2 + \chi^2 / c^2 + \alpha \kappa^2 / s^2}.$$

Figure 2. A Local Policy Decomposition for Fertility Effects



Local fixed-price, fixed-tenure, fixed-active-set decomposition:

$$dN \approx \bar{M} \sum_m \int_{\mathcal{B}_m} \left[\pi_i^E \Psi_i^m + (n_i^m - \bar{n}_i^E) \frac{\pi_i^E (1 - \pi_i^E)}{\kappa_E} \lambda_i^m \zeta_i^m \right] dH_i^m dG_Y(i).$$

Effectiveness is exposure $\times$ pass-through to effective family space $\times$ fertility response, plus entry.